



PETER L. BERNSTEIN

Peter Bernstein has both written best-selling books and made millions of dollars for his clients as an investment adviser. He has also taught at colleges and universities; he started his own consulting company, Peter L. Bernstein, Inc.; and he founded the *Journal of Portfolio Management* in 1974. By bridging real-world investing and the world of academics, Bernstein created a certain synergy. "The *Journal* has kept me younger than anything else," he said, "because the learning process has been so intense. When you have to read all that stuff—read it, not skim it, and the bad as well as the good—you just can't help learning from it." His education started in New York City, where he went to a private school, graduating in 1936. His next stops were Harvard and then the Air Force during World War II.

When his father—who cofounded Bernstein-Macaulay, a family-oriented investment counseling firm, in 1934—died unexpectedly in 1951, Bernstein joined the company. That year he made a mere \$7,500. Back then, Bernstein recalls, everyone was very conservative because they still remembered the 1929 stock market crash. In those early years, even Bernstein advised clients to stick with blue chips and bonds. "Our one big adventure," he said, "was in identifying the puberty boom early on and taking big positions in Gillette and Tampax; the latter was barely mentionable in polite conversation at that time." Not until the 1960s, when "those old guys began to die off," did he notice a change in the willingness to take on more risk.

When his wife died in 1971, and with the United States in turmoil, protesting Vietnam and promoting social revolution, Bernstein decided it was time for him to make some changes, too. In 1973 he started his own consultant firm, mostly advising institutional investors. Another change in the investing world that he has witnessed has been the loss of balanced money managers. "The sylish cafeteria of specialized managers that we see today leads to a mishmash of risks and covariances that most clients fail to understand," he said. Risk and volatility are two topics he addresses in *Is Investing for the Long Term Theory or Just Mumbo-Jumbo?*